DOING BUSINESS IN EUROPE PART 3

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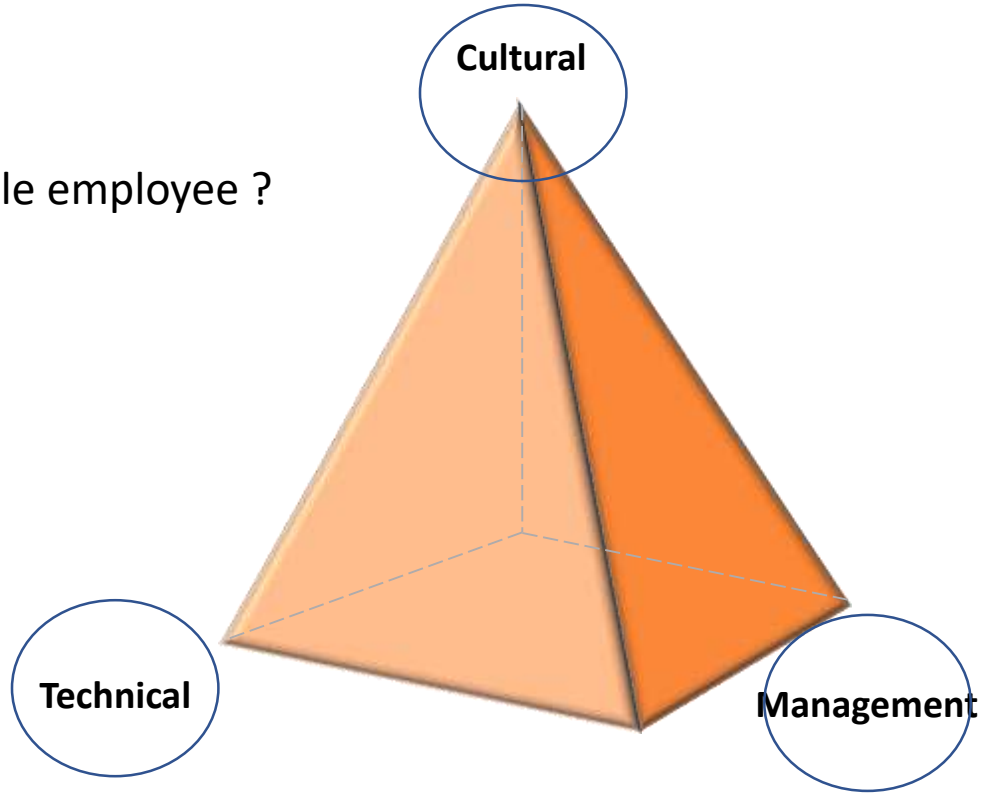
©

Sustain or Institutionalization: Realignment

One single employee ?



Cheap ?

Expensive ?

Urgency for Results	Power of the employees: Low	Power of the employees: High
Low	**Scenario 1** Low level or Middle level employees proactive and changes with non-urgent results	**Scenario 2** CEO, director, reactive and change with non urgent results
High	**Scenario 3** Low level employees passive and change with urgent results	**Scenario 4** Middle level employees, or CEO director with passive and changes in urgent results

Conceptual framework for the development of internationalization strategies

- Internationalization is emerging as one of the drivers of trade development, as local companies with the resources to internationalize their activities offer themselves significant opportunities for **economic growth**

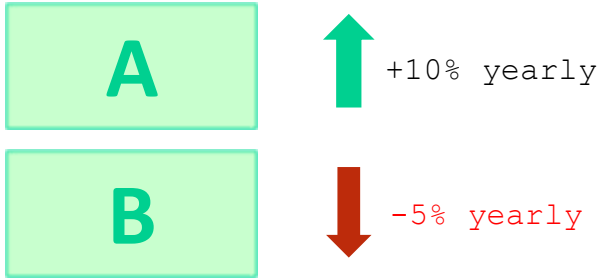
- Master the impact of the most frequent business decisions on the 3 financial statements of a company: **Income Statement, Balance sheet, Cash flow statement**

- Build up and use a comprehensive set of **financial performance indicators** to assess and improve a company's performance

- Make decisions to optimize **cash generation**

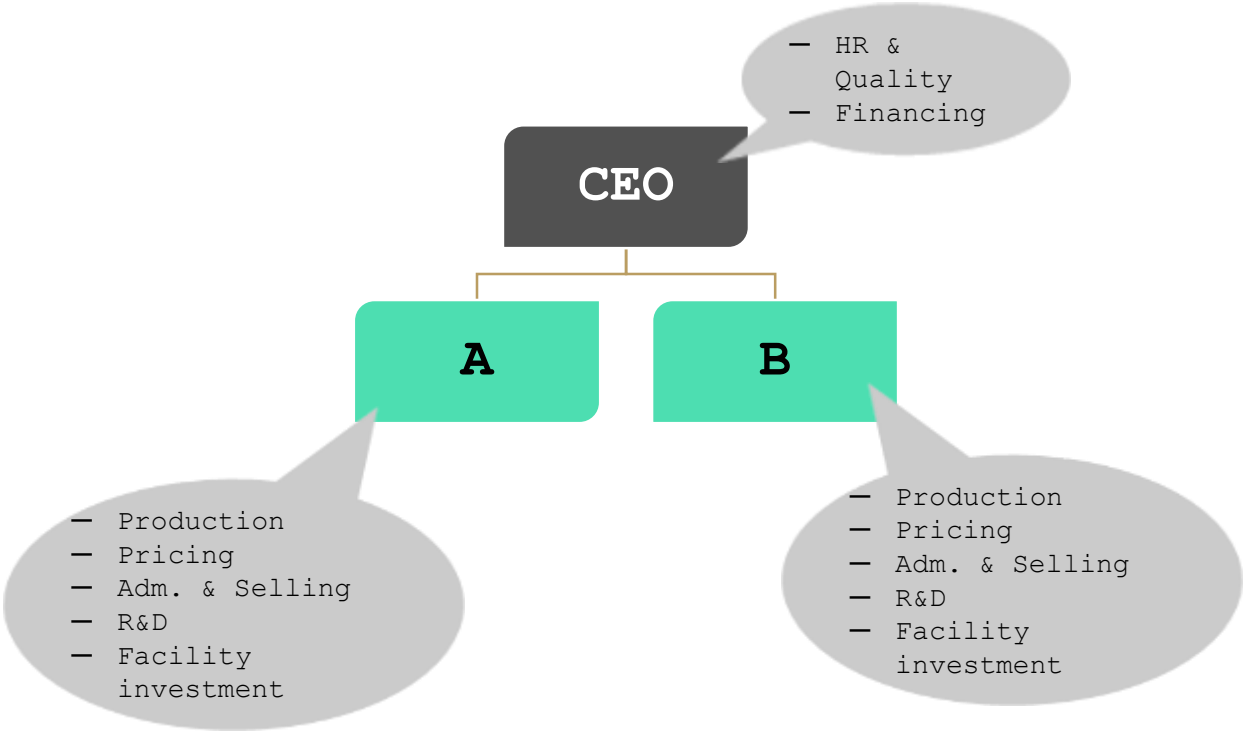
The potential size of each market depends on:

- The market **growth rate expected** in each industry



- The economy (**Business index**)
- The **prices** offered by the different competing companies
- The **quantities** of products available for sale
- The **administrative & selling expenses**, i.e. sales & marketing efforts
- The **Research & Development expenses** to create product appeal

Decisions at business unit and CEO levels



Research and development

Research & Development relates to

- Improving the **product attractiveness** to customers (intrinsic features)
- Decreasing the **manufacturing costs**: “design-to-cost” & “design for manufacturability”

Money invested in R&D has both

- An **immediate** effect
- A **cumulative** effect

Human resources and quality

HR & Quality relates to

- People - Selection, Training, Career Development Plan...
- Tools - IT & Telecom

It has a positive **impact on Employee Morale** by improving employee's confidence in their company

It **improves effectiveness** of *all* business processes, thus enhancing the effectiveness of

- Marketing
- Research & Development
- Production

Money spent in HR & Quality takes **one period to be effective**

Sequence of strategic planning in the internationalization process

- **Reduce the cost** of lack of experience.
- Evaluate the **export capability** of the company.
- Understand the **real preparation** of the company for international markets.
- It is important that this evaluation is performed by an **external professional**.

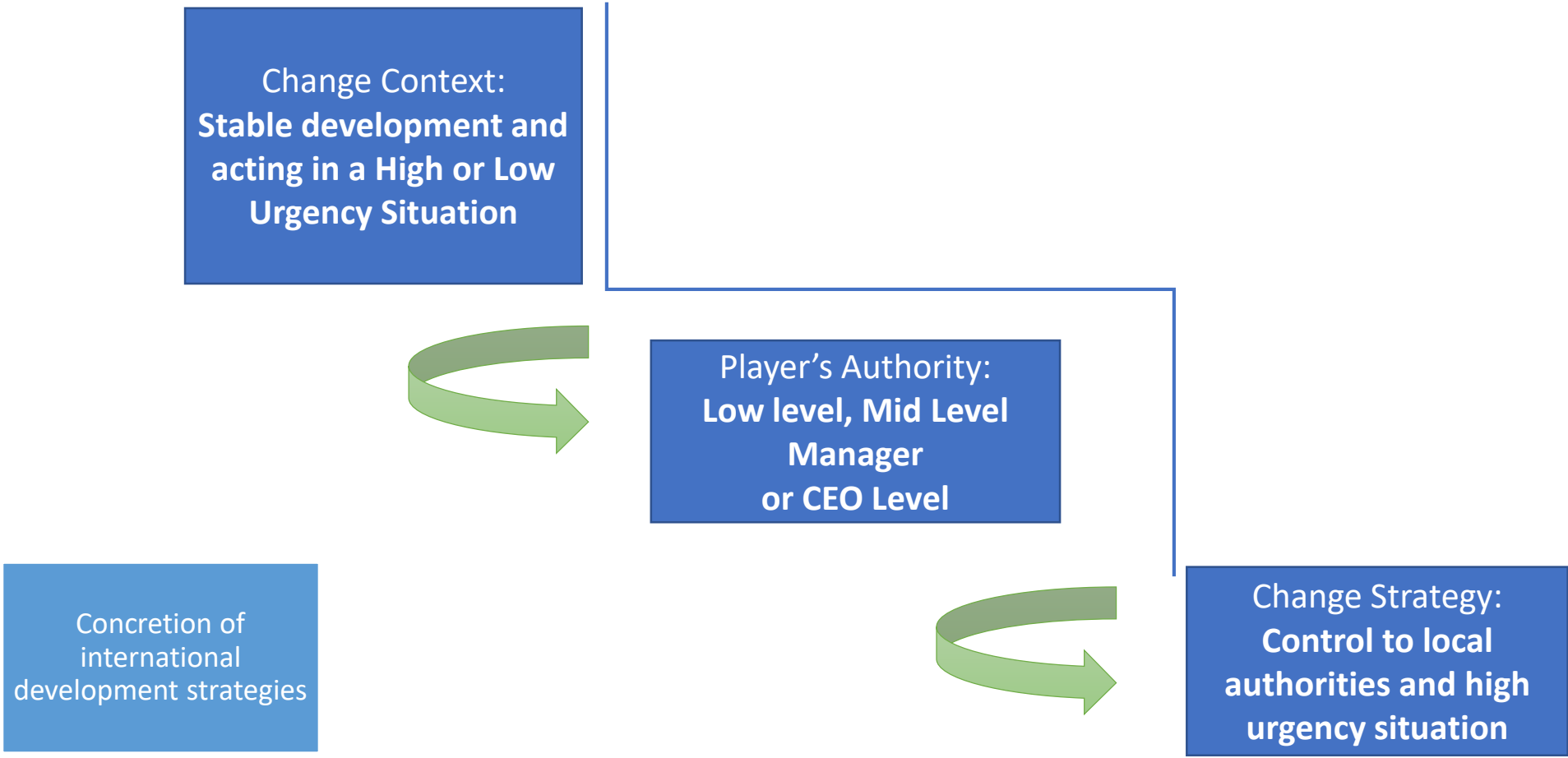
Concretion of international development strategies

Internationalization is emerging as one of the drivers of trade development, as local companies with the resources to internationalize their activities offer themselves significant opportunities for economic growth

Cycle Time in the Global Management

Globalization creates options for countries and companies in the apparel industry, Improving technology, sourcing, and Production, systems and management

Context-Sensitive Approach to Change


Change Context:
Stable development and acting in a High or Low Urgency Situation
Player's Authority:
Low level, Mid Level Manager
or CEO Level
Change Strategy:
Control to local authorities and high urgency situation
Concretion of international development strategies

Urgency **situation**

Low : Clear and widely understood model for change, sometimes referred to long term vision

- Where do we want to go / what do we want to become?

High : Model must be improve in the short term

- No logical , with emotion, and without values

Process and change Initiative (Two Options)

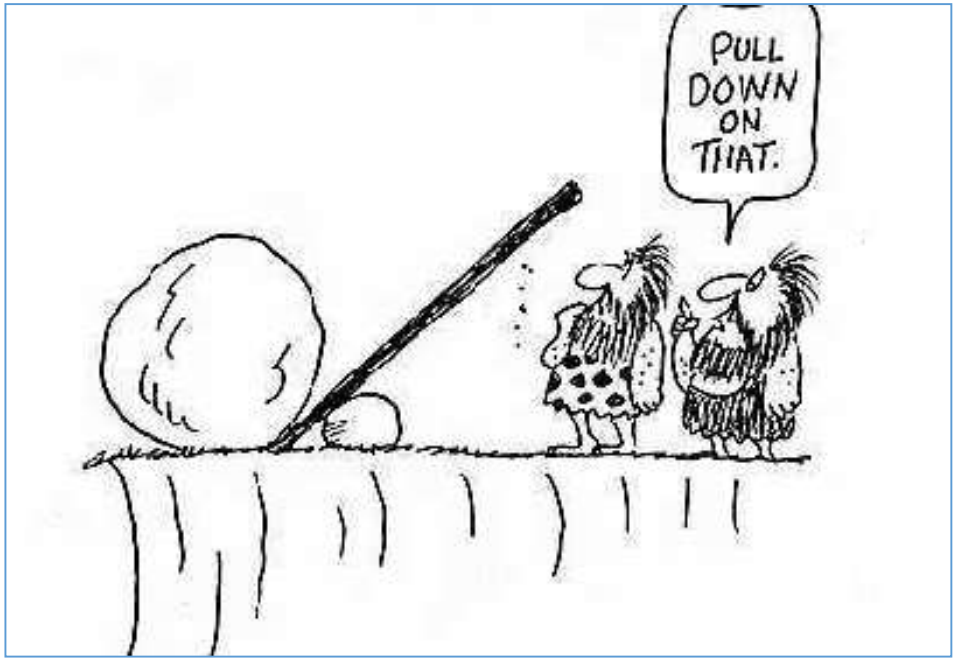
High	Low
• Urgency or crisis • Dissatisfaction with CEO • Organization looking for a new direction • Change agent has irrelevant information • Need to show results quickly	• Not a crisis, stable situation • Satisfaction with CEO • Organization focused on standard routines • Change agent takes on educator role, show a better way • Slow and steady approach

- Lever Effectiveness = Function

- High urgency of the situation

- No formal authority and no credibility

- No timing of deployment



1) Growing sales and building relationships
2) Supply chain management
3) Preparation of tender
4) Management of local employees
5) Improve technique or quality
6) Development of the physical structure
7) Contribution margin
8) Crafting a budget
9) Marketing plans and brand recognition
10) Accounting operations and finance
11) Control of taxes and government
12) Investment of new capital
13) Hiring qualified employees
14) Design of the product and engineering
15) Designation of responsibilities
16) Control of the bank statements

Player's Authority:

Low level,

Mid Level Manager

President or CEO Level

Function of the **General Manager (CEO + CFO)**

1) Hiring qualified employees
2) Accounting operations and finance
3) Investment of new capital
4) Designation of responsibilities
5) Development of the physical structure
6) Contribution margin
7) Control of the bank statements
8) Fix Control of taxes and government policies and determines salaries
9) Growing Sales and building relationships

PRIME ACTIVITES

Function of the **Mid Manager** and **low level employees**

1) Crafting a Budget
2) Hiring employees
3) Marketing Plans and brand recognition
4) Supply chain management
5) Preparation of tender
6) Design of the product and engineering
7) Management of local employees
8) Improve technique or quality

SUB ACTIVITES

Scenario Discussion Takeaways: Role

Things to DO: CEO	Things NOT to DO: CEO
Investment of new capital	Interfere with low level employees decisions
Define the contribution margin	Be in the middle of lower employees and middle level employees
Fix and determines salaries	No Respect for the autonomy of the middle level employees
Designation of responsibilities	Making decision without middle level employees

Things to DO: Middle Manager	Things NOT to DO: Middle Manager
Hiring employees	Manipulate capital without CEO consent
Customer service and preserving relationships	Influence lower employees against the CEO
Management of lower employees	Preparation of administrative task

International competitiveness factors and the country brand

How to choose the countries with the highest potential

- ✓ For internationalization to be successful, it must be **planned.** Otherwise it will become only sporadic exports.
- ✓ By researching and planning the markets you are going to target, you are laying a solid foundation, with **reliable data**, on which your company will **grow**.

Identification and opening of new countries and models of subsidiaries

Check List IP	
Define your objectives	
Define volumes	
Product range	
Quality	
Type of markets	
Type of partnerships	
Define financial objectives (period 1 – 3 years) – 3 years)	
Organize a database with most reliable info info	
Define how you want to enter the market: agent, distributor, branch office	
Define your communication plan. Promote, prepare Promote, prepare catalogs, letters, internet internet communication, website and international international fairs.	
Prepare workshop for company's personnel	

Check list for your Internationalization Plan

Three basic types of change

- Reactive Change
- Closing a performance gap
- (**what is** and **what should be**)

- Proactive Change
- Closing an opportunity gap
- (**what is** and **what could be**)

Passive change
Trying to find a last solution
(**What could have been changed)**

➢ Team Conflict

Which event did your team have the greatest conflict on?

- Your goal is to learn from each other about various leadership strategies you experiments with while managing conflict.

- Your team was not just confronting an adaptive problem in your country. You also dealt with an internal adaptive problem: how to remain a cohesive, deliberate decision-making body in the face of serious conflict over decisions, consequences, and personalities.

➢ Three Types of Team Conflict

- **Disagreement**. Differences of opinion are held, sometimes quite strongly, over what course of action to take.
- **Consequences**. Tensions can arise over the results of the choices that the team made.
- **Personality**. Various personality types and leadership styles can clash with each other.

➢ Takeaways/ Conclusions

Nature of leadership

- Leadership in an adaptive challenge is experimenting with interventions that keep a system focused on tackling the problem at hand.

Failure

- Failure can often teach us significant lessons.

Ambiguity of conflict

- Conflicts in and of themselves are neither bad or good. Adaptive challenges tend to produce many kinds of conflict; the task is managing them productively.

Loss

- Losses of standing in a group, in terms of bad results for your country, etc. are inevitable during upheaval. Loss management in a crisis is a central task of leadership.